

POST INDEPENDENCE NIGERIA AND INDUSTRIALISATION STRATEGIES: FOUR AND HALF ERRATIC DECADES

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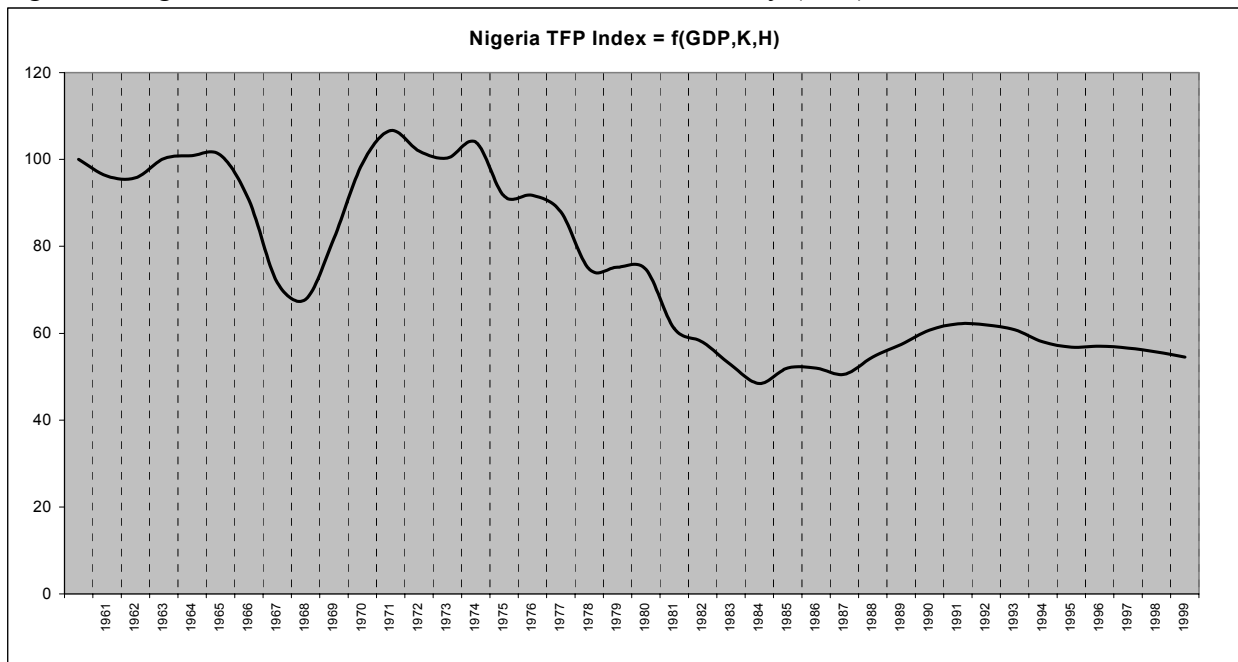
Abstract

The quest for Nigeria to be an industrialised economy with high sustainable growth rates has been the preoccupation of every administration that has piloted the affairs of the nation since after independence. But amidst of these struggles for sustainable growth the Nigerian economy has performed poorly since the late 1970s, resulting in stagnation and increasing poverty levels. Industrialisation was seen as the only feasible means to get to the Promised Land by breaking the shackles of poverty because of the expected spill over effect in every other aspect of the economy. Despite all efforts, since October 1960, the level of industrialization remains very low even with the oil boom that comes intermittently. Thus all three factors (time preference, portfolio choice, and expectations) interacted to produce an economically irrational reaction to the oil-boom in Nigeria. The structural adjustment (SAP) era was seen as a perfect time to consolidate the industrial aspirations but the Nigerian experience with SAP policies in the area of trade and industrial policies illustrates the interplay of several factors in the determination of policy design and implementation. In one sense, there is the loss of policy autonomy since the IMF and donors could almost retain a veto power on policy choices. In practice, Nigerian policy-makers have had tremendous room to manoeuvre. The situation have been off and on till the 4th republic (1999-2007) yet Nigeria's manufacturing sub sector contribution to GDP instead of growing dropped to less than 3 percent in 2006. The paper reviewed all the policies and incentives and proffer guidelines for the way forward.

INTRODUCTION

Nigeria's experience with industrialization since independence is a classic case of misfortune. A telling indicator is the fact that manufacturing value-added as a percentage of GDP was about five percent in 2000 (less than the proportion at independence in 1960) and not more than 7 percent in 2005 making Nigeria one of the 30 least industrialized countries in the world. Industrialization in Nigeria ascended during the oil boom era (1973–81, with manufacturing share of GDP reaching 11 percent), but has had an abrupt decline to about five percent in 2000 (Ikpeze, Soludo & Elekwa 2001). Total factor productivity (TFP) of the sector has been in almost continuous decline since 1973, as evidenced by figure 1 below¹. This is not surprising especially given that industrial capacity utilization rate has varied between 30- 40 percent, and output has been driven largely by inefficient factor accumulation and rain-fed agriculture. Low TFP was also attributed to the high but inefficient public sector investment as well as the plethora of constraints on private sector investment—infrastructure, finance, declining educational standards, hostile business environment, policy uncertainty, etc.

Figure 1: Nigerian Industrial sector Total Factor Productivity (TFP) 1960-2001



Source: Addison 2002.

Manufacturing export is barely 0.4 percent of total exports, while import of manufactured goods is more than 15 percent of GDP or more than 60 percent of total imports. Similarly, export of agriculture has declined from a share of more than 80 percent at independence to less than four percent, while that of oil has risen to approximately to 95 percent since the mid 1970s; which implies rapid de-industrialization, continuing loss of

¹ See also Iyoha and Oriaku, 2002, and Addison 2002

market shares mostly in traditional export markets, and increasing import dependence, especially food imports.

The quest for Nigeria to be an industrialised economy with high sustainable growth rates has been the preoccupation of every administration that has piloted the affairs of the nation since after independence. But amidst of these struggles for sustainable growth the Nigerian economy has performed poorly since the late 1970s, resulting in stagnation and increasing poverty levels. Industrialisation was seen as the only feasible means to get to the Promised Land by breaking the shackles of poverty because of the expected spill over effect in every other aspect of the economy. Today manufacturing contribution to GDP remains as minuscule as 6 percent, just as the GNP per capita in 1999 was US\$300, lower than the level attained during the first oil price boom; while over two-thirds of the population lives below the poverty line (equivalent to roughly one US dollar per day) compared to 46 percent in 1985. Social and economic conditions for most Nigerians have worsened dramatically despite the country's abundant natural and agricultural resources. According to the United Nations Development Programme (UNDP) Report of 2005, life expectancy at birth has reduced further to 43 years in 2005 from 54 in 1999 which implies that over half of Nigerians will not live to 40 years; the child mortality rate for those under five is over 150 per 1000 live births; two-fifths of children under five are undernourished; the proportion of under fives who are underweight is 36 percent; only 50 percent of urban dwellers and 30 percent of rural dwellers have access to safe drinking water; a similar share does not have access to basic health facilities; and two-fifths of those over 15 years of age are illiterate. Above all the AIDS epidemic is now a potential time bomb waiting for possible explosion without an effective response at hand. What have been the responses of respective administrations since independence to this state of affairs. Have these measures been successful or have they been meeting with brick walls? What is the way forward? These are some of the issues this article seeks to address.

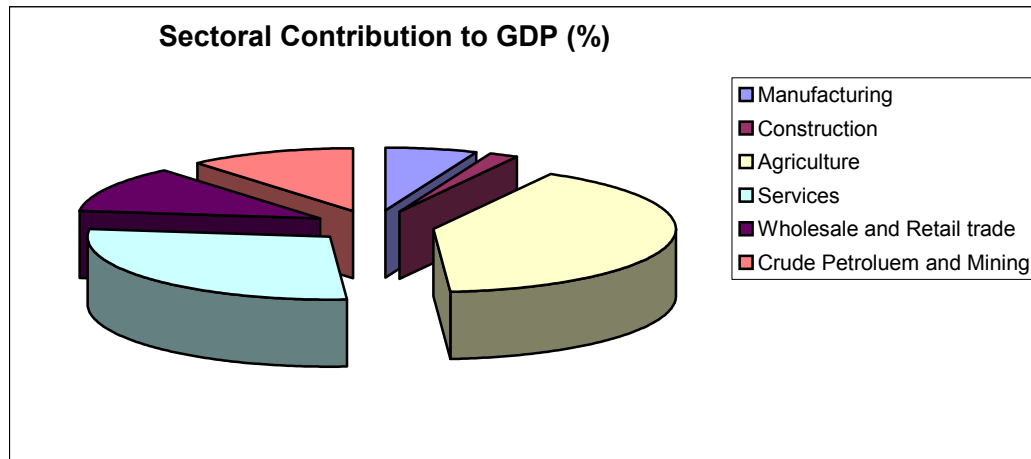
NIGERIA MANUFACTURING PERFORMANCE – A COMPARABILITY ANALYSIS

In the midst of abundant natural resources endowment like oil, and with a population of relatively well-qualified human resource base which should served as a solid base for the development of the industrial sector, the performance of Nigeria's Industrial sector has been epileptic with sub-sectoral growth most uneven. Even with increase in the trend of non-oil GDP as a result of significant improvement in other sectors of the economy, the industrial sector especially the manufacturing sub-sector remain the only sector that has been continuously registering declines in its production index (UNIDO, 2002; Result of the Nigeria Firm Survey, RPED, 2002). See Figure. 6.1.

There is no empirical evidence of any country that has achieved economic and social development in isolation from industrialization neither will there be growth in manufacturing sector when capacity utilization is disgusting as it is the case with most Sub-Saharan countries especially Nigeria. The Industrial sector and the Agricultural sector if strongly focused would help in achieving an accelerated and balanced growth in Nigeria economy since the manufacturing can draw lots of inputs from agriculture where

Nigeria seems to have comparative advantage. Agricultural growth in Nigeria is constrained by Industrial growth.

Figure 2: Manufacturing Contribution to GDP vis a vis other sectors of Nigerian economy



Sources: EDF Programming Study for Nigeria (2001) Private Sector.

Although Nigeria has been an independent nation since October 1960, the level of industrialization remains very low. This has been attributed to the effect of 30 years military rule.

The low level of industrialization impacted negatively on the earning capacity of the citizens (between 1966 and 1999). In 1958 (two years before independence), the contribution of manufacturing to the Gross Domestic Product² was N81 million (i.e. 4% of the GDP). Five years later (1963), it rose to N157.8 million (which was 5.6% of GDP). The corresponding annual rate of growth was 17%. By 1967, manufacturing contributed N225.8 million (i.e. 8.4%) to the GDP. The high degree of transformation taking place in the manufacturing sector was very remarkable. From 50% in 1958, the value-added generation from the processing of agricultural products fell to less than 25% in 1967 (one year into military rule) while industrial factory production accounted for the rest.

The World Development Report (World Bank 1997) covering 133 countries adequately reflected the importance of industrial capacity building. In 1995, Nigeria was ranked the 19th poorest nation in the world with a per capita income of about US \$260 almost the same as it was in 1972 (two years after the end of the country's civil war). This compares with Malaysia's US \$3,890 per capita; Indonesia \$980 and Ghana's \$390. In 1965, Nigeria's GDP was US \$5.8 billion compared with Indonesia's \$3.8; Malaysia 3.1bn and \$9.8bn for Venezuela. Thirty years later in 1995, Nigeria's GDP had increased to \$26.8bn (3.6 fold increase), Malaysia's to \$85bn (27 fold increase), Indonesia's to \$198bn (52 fold increase) and Venezuela's to \$75bn (20 fold increase). Nigeria's GDP rose from \$2.66 in year 2002 to \$2.93bn in year 2003 (compare Nigeria's GDP of \$26.8bn in 1995). This appalling situation was due mainly to the serious decline in

² GDP; i.e. an aggregate of goods and services produced in the economy

manufacturing activity (the real sector of an economy). This scenario accounted for the nation's poverty and the lack of domestic savings to invest.

HISTORICAL EVIDENCE OF NIGERIAN INDUSTRIALISATION STRATEGIES, POLICIES AND PERFORMANCE SINCE 1960

Ikpeze, Soludo and Elekwa (2001), have done some justice in summarizing Nigerian industrialisation strategies and performance post independence under the following subheadings: the 1960s: from independence to end of civil war; 1970 Indigenisation policy and the oil boom; and the 1980s and the structural Adjustment Programme (SAP). Details are presented thus.

The 1960s: From Independence to End of Civil War

With independence in 1960, the nationalist rulers aggressively pursued import substitution industrialization as part of the response to the minuscule industrial base bequeathed by the colonial masters. The regional governments in the three regions — East, West, and North, and later in 1964 Mid-West, deliberately promoted industrialization even without any formal industrial policy. In the first three years of independence value-added in manufacturing grew by an average of 11.4 percent per annum. Rapid growth of manufacturing and diversification of industrial activity were major objectives of industrial sector development as articulated in the various national development plans (1962–1968, 1970–1974, and 1975–1980). By 1965, manufacturing as a share of GDP had grown to six percent, up from five percent at independence. Between 1967 and January 1970, Nigeria was plunged into a civil war. Despite the war, the decade of the 1960s could still be described as the golden era of Nigeria's industrialization effort as Table 1 shows.

Table 1: Performance of the Industrial Sector: 1964–72

Indicator	Growth Rate percent (annual average)
Number of establishments	12.1
Number of employees	12.6
Wage-bill	17.9
Gross output	16.4
Gross Value Added	18.7

Source: Berger 1975

At the heart of this remarkable performance was the competition among the regions, controlled by three different parties, for supremacy in economic transformation. Industrialization was the ultimate index of that transformation, and the dominant strategy was import substitution industrialization.

The 1970s: Indigenization Policy and the Oil Boom

The decade of the 1970s was remarkable in a number of ways. For one, it was the first decade of undiluted military rule. For another, it was the decade of the first oil boom which put enormous financial resources in the hands of the military rulers — enough resources to prosecute whatever development programmes they fancied. Following the end of the civil war, was also a decade the government earmarked for reconstruction, rehabilitation and reconciliation. It was a decade of massive direct government investment in manufacturing. Government began to exercise almost complete monopoly in some sub-sectors of industry. Actual outcomes, however, belied all rosy expectations, and the 1970s laid the foundation for much of what is wrong with Nigeria's policy and development. Three key features of the decade germane to our analysis are the oil boom and government responses to it; the indigenization programme, and government massive investment in, and location of, industries.

Reaction to the Oil Boom: A key feature of the 1970s, which provides the context for much of the policy environment, was the oil boom. Between 1973 and 1981, Nigeria earned the fabulous sum of over N60 billion (about \$90 billion) from oil. What did the country do with the windfall? A nation's choice is governed by a complex interplay of its rate of time preference, portfolio choice, and expectations regarding future revenues. On the question of whether to consume now or in the future (time preference) the nation adopted a spendthrift attitude. The mood that pervaded all economic calculations from 1972/74 was that of unrestrained optimism about future petroleum prices and government revenues. Government spending under the various National Development Plans quadrupled, and the size of government ballooned so that in the early 1980s the public sector had grown to account for about 50 percent of GDP and 70 percent of modern sector employment. This expansion of the public sector contribution derived mostly from the provision of services and infrastructure and the payment of salaries and wages.

Thus, all three factors (time preference, portfolio choice, and expectations) interacted to produce an economically irrational reaction to the oil-boom in Nigeria. This has been the experience of some other oil exporting countries. According to Seers, "Oil is often not the blessing it appears to be: it provides great opportunities, but the very nature of the industry also makes these almost impossible to grasp and induces growing structural strains. A particular property of oil is that it casts a smokescreen over a country's real problems. Symptoms such as foreign exchange problems and fiscal inadequacies are temporarily concealed." In Nigeria's case the "smokescreen" induced Dutch courage, which emasculated the agricultural and industrial sectors.

In a sense, the choice made by the Nigerian government in favour of massive spending (mostly distributional) especially in the context of the reconstruction and rehabilitation programmes after the civil war, was a response to the demands of the politics of the day. With the military government eager to sustain its legitimacy and an insatiable demand for distributional programmes, it was little surprise that the government chose consumption over production. The bulk of the productive investments made were in infrastructure, and education.

Still, such patterns of investment might have been induced by the drive for rents. Up to the time of the first boom (1973), the Nigerian government (whether colonial or post-colonial) had nurtured capitalism in the country by “creating a congenial economic climate and by programmes and policies designed to assist and stimulate business generally.” But the surge of oil revenues since 1973, by transforming the government treasury into the predominant source of economic surplus, brought about an unhealthy transition from “nurture capitalism” to “pirate capitalism” (see Schatz, 1984). According to him:

For the most vigorous, capable, resourceful, well connected and lucky entrepreneurs and potential entrepreneurs (including politicians, civil servants, army officers, etc.) productive economic activities, the creating of real income and wealth, has faded in appeal. Access to and manipulation of the government spending process has become the golden gateway to fortune.

This vintage appeals to the classic rent-seeking (public choice) model. With the economy awash with the huge rents from oil, it became irresistible for politicians, bureaucrats, and citizens not to want to share in the new wealth. The new wealth provided the means to maintain, for example, the high appreciation of the exchange rate, the unsustainable consumption levels, government investment in all manner of industries, etc. All these involved some form of rents for the participants and the oil wealth helped to postpone the consequences of the rent-seeking environment. Besides the distortions inherent in the activities, the new wealth tended to induce a misallocation of productive resources. Industrialisation was largely state-led at the time and much of private sector (entrepreneurial) activities were devoted to chasing rents from government. It was thus not surprising that at the end of the oil boom, the private industrial sector was still feeble and accounted for an inconsequential proportion of the total industrial sector or GDP.

The 1980s and the Structural Adjustment Programme

The experience of the 1980s amply underscores the impact of the objective conditions of an economy on the policy choice. If the oil boom of the 1970s induced and nurtured a statist, command-planning policy regime, the failures of that regime as well as the objective conditions of the 1980s foisted a necessity for fundamental reforms. 1982 signified the end of an era, with the collapse of the international oil market. With this collapse, Nigeria’s structural defects, which had been papered over by the oil boom, came to the fore. Foreign exchange difficulties became acute, and the entire manufacturing sector (based on ISI strategy and heavy dependence on imported inputs) was in serious trouble. The manufacturing sector still manifested a litany of problems such as concentration on the light and elementary industrial groups, low local value-added; high import intensity, negligible contribution from the engineering industry groups, poorly developed local inter- and intra-linkages, low technology activities, limited employment effects, regional agglomeration of concentration at the Lagos-Ibadan (South-West), Jos-Kano-Kaduna (North) and the Onitsha-Nnewi-Aba (South-East) axis, poor export performance, dualism, without any tendency for small-scale and informal-sector

enterprises to upgrade, and undue government involvement, especially in heavy industry (Oosterdiekhoff, 1991).

These objective conditions demonstrated that economic policy should not be business as usual. A fundamental reform agenda was needed. The most dramatic feature of this era was the adoption of the SAP policies in 1986 by General Babangida. The key objectives of the SAPs with respect to industrial policy were to:

- encourage the accelerated development and use of local raw materials and intermediate inputs rather than depend on imported ones;
- develop and utilize local technology;
- maximize the growth in value-added of manufacturing activity;
- promote export-oriented industries;
- generate employment through the encouragement of private-sector small and medium scale industries;
- remove bottlenecks and constraints that hamper industrial development, including infrastructural, manpower and administrative deficiencies; and
- Liberalize controls to facilitate indigenous and foreign investment (Federal Republic of Nigeria, 1986).

It must be noted that the reforms under SAPs did not come without a fight. There were tremendous resistance to change and the struggle has lingered ever since. Nigeria's experience, as with other countries implementing SAP, illustrates the importance of external (donor) agencies in the choice of particular policies. It also illustrates the importance of ideology or mainstream economic thinking. While the intellectual force of ISI strategy essentially drove the old policy regime, the new regime foisted by the SAP agenda favoured a "no industrial policy" and a liberal trade regime. Nigerians and their government resisted and still resist many of the policy prescriptions. But because Nigeria sorely needs to negotiate debt rescheduling with the Paris Club of Creditors (which requires certification from the IMF as an eligibility criterion), the country has had little room to manoeuvre. As the Finance Minister who introduced the SAPs often said during the famous debate on whether or not Nigeria should take the IMF loan, "the question is not whether or not Nigeria wanted to reach agreement with the Fund, but whether it could afford not to do so." So, with the loss of policy autonomy and the policymakers' hands tied, they had little option but to swallow the bitter pill of reforms.

Consequently, the government of General Babangida rammed through the set of reform measures, in many cases having to quell street riots against the programmes. Some of the policies impacting on industry included the dismantling of the import licensing regime and commodity boards, the liberalization of the foreign exchange market, significant reduction in the tariffs and especially the non-tariff barriers, reduction of subsidies, privatization and liberalization of most aspects of economic activity. Indeed, the elements of SAP in Nigeria (even though it was supposed to be "home grown") turned out to be the standard adjustment programme. Resistance to several aspects of the programme has endured even as the constituency for these kinds of reforms has remained skeletal and feeble. It is therefore not surprising that the Nigerian government and the donor agencies

have largely played a cat-and-mouse game, with the government signing on to the reforms while failing to implement the agreed policies. In some cases, one could discern the actual policies by examining the implementation record. For example, while the tariff regime is (on paper) more liberal than before, the frequency of the reversals (sometimes revised a few times in one year) render the published tariffs inoperative. Even with the liberalized foreign exchange market, the market still operates a dual regime thus providing significant rents for those with access to the foreign exchange at the official rate.

In summary, the Nigerian experience with SAP policies in the area of trade and industrial policies illustrates the interplay of several factors in the determination of policy design and implementation. In one sense, there is the loss of policy autonomy since the IMF and donors could almost retain a veto power on policy choices. In practice, Nigerian policy-makers have had tremendous room to manoeuvre. Their implementation record has often woefully failed to keep up with the policies they signed on to. Second, it illustrates the power of ideology — which is essentially driving the neo-liberal content of the policies under SAP. Third, it also shows that entrenched domestic interests hardly die. Nigerian bureaucrats have always had their way around the policies to still create enough room for rents or to sufficiently weaken the implementation.

If the dismal performance of the manufacturing sector under the ISI strategy necessitated a fundamental change of policy, the outcomes under the new policy regime have not been better. Since the 1990s, manufacturing value added as a share of GDP has stagnated, and as at 2000 was 4.9 percent of GDP (less than the 5.3 percent at independence in 1960). Capacity utilization has remained at around 35 percent, and manufacturing employment has declined, despite the fact that raw materials and capital goods imports gulp about 60 percent of Nigeria's foreign exchange earnings.

Perhaps, it was the frustration with the failures of the old industrial policy as a patchwork of ad-hoc measures that informed the need to systematically articulate a comprehensive industrial policy. In 1989, the Babangida government launched the first formal Industrial Policy of Nigeria, and in 1990, the first trade policy was also launched. These policy documents have also been revised — industrial policy in 1998, and 2001, and trade policy in 2000 and 2001.

INDUSTRIAL AND EXPORT PROMOTION MEASURES –AN ASSESSMENT

Much of the economic policies since independence in 1960 have been devoted to promoting rapid industrialization and exporting. At least in the books, Nigeria has tried dozens of promotional incentives but paradoxically, there seems to be an inverse relationship between the number and legerdemain of such incentives and actual performance (Soludo et al 2003). What has been missing is a detailed evaluation of the promotional measures (incentive structure) in terms of their value-for-money effectiveness. Nigeria has a number of investment and export incentives schemes designed with the intent of easing the tax burden on specific types of investment or business operations.

“Pioneer Status” tax holidays

These are guaranteed by NIPC and administered by the Federal Inland Revenue Service (FIRS). The Regional Programme on Enterprise Development (RPED) interviews suggested that an NIPC declaration is not sufficient to obtain pioneer status. Firms noted that the NIPC awards them; that they are granted by the ministry of Industry; and that they are given by the Joint Tax Board located in FIRS. To affect investment decisions, incentives have to be awarded before an investor makes a commitment. However, it appears they are awarded only after a major commitment, for example, acquisition of land and importation of capital goods, has been made. The criteria are non-transparent and discretionary. The NIPC’s Nigeria guide, for example, states that the five-year tax holiday is available to industries that produce products declared as “pioneer products” (for which there is long list) under the Industrial Development (Income Tax Relief) Act No. 22 of 1971 as amended in 1988, or such other deserving enterprises as may be approved by the Council of the NIPC.

Other Formal Tax Incentives

A variety of other tax exemptions and other incentives are listed in the NIPC’s Nigeria guide and are contained in the Companies and Allied Matters Act, the Tax Code and other legislation. Federal ones are to be administered by FIRS since all companies file returns whether they have corporate income tax holidays or not. However, only some are included in the tax guide to which FIRS officials refer when assessing tax liability. It is unclear how entitlement to others is judged.

Investors are able to negotiate incentive packages on a case-by-case basis with both federal and state authorities. This confusing and ill-defined array of incentives is compounded by other factors:

- The criteria for awarding incentives are often unclear or inappropriate. For example, incentives for labour-intensive mode of production seem to reward size rather than labour intensity. The award is based on the number of employees and not a measure of labour intensity such as the capital/labour ratio.
- Incentives seem to overlap. A tax incentive cumulative for a firm that is labour intensive, adds local value, uses local raw materials, and has pioneer status.
- The meaning of individual incentives is also unclear in some cases. For example. A two percent tax concession for five years is offered “on the cost of facilities provided for training”. However, it is unclear whether this means a reduction in the corporate tax credit, or something else. More generally, it is not clear whether a 15% tax concession means that taxes are reduced by 15%, or whether the tax rate is reduced by 15 percentage points, although there appears some consensus that the later was intended.
- Timing is also problematic. Ex post application for incentives generates greater uncertainty. Pioneer status can only be requested after an investor has made a substantial commitment.
- Responsibility for the administration of incentives is unclear and overly complicated. Although most seem to be administered by either FIRS or the

Ministry of Finance, more bodies seem to be involved in awarding them. There may be little coordination between federal and state- level granting bodies.

Nigeria's incentive regime will inevitably confuse and frustrate investors, its targeted clientele. Criticism of the system is not louder, possibly because most investors do not bother applying for them or pursue a "negotiated" incentive route instead. The findings of the FIAS team corroborate the results of the RPED survey where few firms actually benefited from incentives, and expressed the opinion that it was not worth spending the time applying for them.

INDUSTRIAL POLICY INCENTIVES TO FIRMS

The following policies were put in place to boost the industrial sector of the economy. They are grouped under fiscal measures on taxation and interest rates, effective protection with import tariff, export promotion of Nigerian products, foreign currency facility for international trade and banking development.

Taxation

- Fiscal measures targeted at aspects of industrial activities will be realized through pioneer status which involve local raw materials development, local value added, labour intensive processes, export-oriented activities, in-plant training and investment in economically disadvantaged areas.
- Tax relief for research and development
- Companies Income Tax Act amendment (corporate tax 30%, penalty for failure to pay on due date 10%, etc.
- Tax Free Dividends
- Tax relieve for investments in economically disadvantaged LGAs
- Rural Investment Allowance
- Replacement of Industrial Plant and Machinery
- Solid minerals exploitation and processing
- Tax incentives for Hoteliers and other services related to tourism
- Tax exemption for Dividends of unit trust
- Tax incentives for local production of parts machinery and equipment
- Double Taxation (Income Tax Act 1979)
- Group of companies taxation
- Taxation in respect of oil and gas extended to industrial projects
- Capital Tax gains from disposal of shares and stocks are exempt from Tax
- Abolition of excise duties

Effective protection

- Customs and excise regime
- Dumped and subsidized goods

Export Promotion

- Import duty Drawback
- Export license Waiver
- Export credit Guarantee and Insurance scheme
- Export development fund

- Export expansion grant (EEG)
- Export adjustment Scheme Grant
- Rediscount of short-term Bills for Export
- Capital Allowance
- Tax relief on interest Income

Foreign Currency Facility

- Foreign exchange market
- Repatriation of imported capital
- Repayment of technology fees
- Foreign currency domiciliary account

Development Banking

- Soft loan provision
- Advances to large, medium and small and cottage type industries on concessionary terms

Source: Industrial Policy for Nigeria. Federal Ministry of Industry Abuja, 2001

NIGERIA 4TH REPUBLIC 1999 – 2007: AN EVALUATION

Since 1999, the civilian government has stepped up measures to promote industrialization. Beside the drafting of a new industrial policy—with the array of incentives, Government has also embarked on two new bold, albeit controversial, initiatives to boost industrialization--- the setting up of the new Bank for Industry (BOI), and the Small and Medium Industries Equity Investment Scheme (SMIEIS).

The bank was introduced as a development institution to accelerate Nigeria's industrial development through the provisions of term loans, equity finances and technical assistance to industrial enterprises. It is a combination of the Nigerian Industrial development Bank and Nigerian Bank for Commerce and Industry (NBCI). The orientation has been developmental in nature to make a considerable impact in terms of long-term (sanctions and disbursement), employment generation, industrial dispersal and promotion of indigenous entrepreneurship. It inherited under its fold the Industrial and Insurance Brokers (IDIB), Leasing Company of Nigeria Limited (LECON), NIDB Consultancy Limited and NIDB Trustees Limited, which belong to the old NIDB. The Nigerian Bank for commerce and Industry another bank which it inherited was established in 1973 with an authorized share capital of N200.00 million while its capitalization was expected to be N600.00 million at the conclusion of the re-structuring in 1999 to enhance its delivery capacity. The bank was established to provide financial, technical and management support services to Small and medium scale industries.

The SMIESIS Fund, to which commercial and merchant banks are expected to contribute about 10 percent of their profits is another scheme directed at promoting the SMEs. The major pressure point about these measures pertains to the non-market features and hence the susceptibility to failures as with the earlier directed credit schemes. Given the pervasive corruption and the weak institutional foundations, many analysts fear that the funds might end up as another piece of 'national cake' to be eaten up by corruption. The

funds are unlikely to get to the intended beneficiaries, and the loans might end up as bad and doubtful debts—which would cripple the operations of the funds in the future.

Small and Medium Industries Equity Investment Scheme (SMIEIS)

The Small and Medium Industrial Development Agency of Nigeria (SMIDAN) is set up to help in the coordination of the scheme with a guideline that 60 percent of the SMIEIS fund should go to core real sector, 30 percent to services, and 10 percent to micro enterprises through NGOs. The objectives envisaged for SMIEIS are as follows:

- Increasing per capita output/income and initiating/constituting changes in the structure of business and the society through growth, increased output and employment opportunities
- Enhancement of Regional economic balance through industrial dispersal
- Moderating rural urban migration
- Easily adaptable to local technology
- Promotion of effective resource utilization

Incentive Structure for SMIEIS in Nigeria

- ❖ Tax relief in the first five years of operation (company's income tax policy of 1990)
- ❖ Lower duties on imported raw materials by small and medium scale businesses
- ❖ Review of the seven-year tariff regime (1995-2001) in consonance with economic realities and the desire to build a stronger and more viable real sector
- ❖ Tariff on industrial machinery and spare parts have been reviewed downwards to as low as 2.5 percent
- ❖ Duty on imported finished goods have been substantially increased to discourage dumping in Nigeria

Performance of SMIEIS so far in Nigeria

- 1.73 billion naira has so far been invested in 36 projects by 36 Banks
- The amount represents only 14 percent of the total sum
- A total of 12.37 billion naira was set aside by 79 Banks
- Banks contribution to SMIEIS hits N11bn, flout guidelines
- Lagos has over 90 percent of the projects while there is one each in Cross River, Anambra, Delta and Oyo States respectively
- 75 percent of the total investment is in the service sector alone.

Numerous problems are faced by SMEs while trying to assess the fund and they include: poor management, poor internal control system, improper keeping of financial records, high rate of business failure, lack of technical and economic counseling, weak working capital base, non disclosure of information, susceptibility to sudden policy changes, poor accounting standards (improper records of business transactions), limits accessibility to institutional credit and shortage of skilled manpower.

Summarily the SMEIEIS funds suffer from inadequate financial resources to hire skilled manpower, which has restrained the expansion and limits productivity. Others include financial indiscipline, loan diversion, aversion to disclosure of information on supply sources, production processes, production costs (information opacity).

Constraints to Firm Competitiveness

Firms in Nigeria face atypically very high transaction costs which make them highly uncompetitive. The sources of the high transaction costs and inefficiency are many and varied, and from diverse surveys, many factors have been highlighted.

The private sector firms suffer from high costs and lack of competitiveness. Relative to other African countries (evident from a survey of international businesses working in Africa), Nigerian firms face atypical challenges in the following areas³:

- *Infrastructure*: Roads, railways, ports and airports were given the least satisfactory assessment of twenty-four African countries by the business community;
- *Customs*: The average customs clearance time reported by firms is 25 days, putting Nigeria twenty-second out of 24 countries surveyed;
- *Telecommunications*: Nigeria is ranked 20 out of 24 African countries (twenty-second in internet access and twenty-third in terms of telephone price);
- *Hidden import barriers*: lack of availability of export credit, multiple licensing and regulation requirements and the overvalued exchange rate reduced Nigeria's rating in these areas by businesses to 23 (out of 24);
- *Security*: Negative perceptions of security and organized crime remain strongly evident among businesses, with Nigeria ranked twenty-third out of 24 countries;
- *Education*: Quality of university education is seen by businesses as among the lowest quintile in the sample of countries; and
- *Policy*: Finally, Nigeria was seen as the third most problematic country in the sample in terms of policy volatility.

WAY FORWARD:

One major finding from the above analysis as regards to policy issues is consistent policy summersault. Policies ranging from import substitution era to Structural Adjustment programme (SAP) regime were at variance with each other. There is need for consistency in government policies and sustainability also to enable stakeholders consolidates and be able to take their rightful position in the economy. Daunting as these challenges might seem, there is still a glimmer of optimism and the optimism derives from the opportunities offered by the new democratic experiment in the country (Ikpeze, Soludo and Elekwa 2001). From the above analysis it is obvious that a lot should be done to boost industrial sector performance in Nigeria. They most important responses needed at the present in the sector include:

³ see World Bank Interim Strategy Document, 2001, p.12

- Provision of lowest electricity tariff rate for industries and review petroleum prices
- Improve the national gas pipeline and industrial infrastructure
- Privatization or complete rehabilitation of the rail transport and inland water ways development
- The need for the establishment of industrial layouts near major raw materials sources
- Provision of extended digital system to cover the entire country communication network
- Acquisition of appropriate technology for production
- Pay proper attention to environmental impact analysis
- Sourcing and promotion of suitable raw materials for industrial use through the activities of the Raw Materials Research and Development Council (RMRDC), Federal Institute for Industrial Research Oshodi (FIIRO), Project Development Agency (PRODA), etc.
- Establishment of a special low interest National Industrial Stabilization and Development Fund (NISDF) for long term development
- A review of the monetary policy to reduce the interest rate
- Institution of a credit Guarantee Scheme that would enhance access to a loanable fund by SMEs.
- Grant to relief to some key manufacturing operations in the form concession on duty exemption on imported inputs
- Restoration of the 25% import duty Rebate for industrial raw materials, machinery and spare parts
- Immediate take-off of the Anti-Dumping Authority
- Strengthening of the Standard Organization of Nigeria (SON)
- Development Programme Sustenance
- Emergence of Competitive industry
- Improved Corporate and Public Governance
- Strengthening the economic/industrial base
- Improvement in the skill level of labour
- Improved the level of political rights
- Making the court system more reliable
- Achievement of certain level of International Competitiveness necessary for earning sustainable exports level
- Improvement in social and economic infrastructures
- Adequate access to new technology
- Restoration of enabling environment to attract foreign investors
- Reduction of transportation costs associated with exports
- Strengthening the insurance sector
- Improved public service delivery
- Availability of technical assistance
- Upgrading the technical structure

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